

New Year, New Budgets with Microsoft Ads

Date: 01/27/2026



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We expect all event participants to uphold the principles of this Code of Conduct. The Code of Conduct applies to all aspects of the main event and any related activities, whether digital or in person.

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- Behavior that is disruptive, disrespectful, or degrading to others, including any messages, images, or interactions by anyone, in any form, regardless of location.
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Let's get connected

ASK A QUESTION

Type in the Q&A window if you have questions.

ENGAGE WITH OUR SPEAKERS

Use reactions to engage with speakers. These can be found in the tool bar at the top of your screen.

TURN ON LIVE CAPTIONS

If you find this useful, you can turn on live captions by clicking the CC button.

PLEASE NOTE

By joining this event your personal information such as name, email, and phone number, may be visible to other participants.

Today's Presenters

New Year, New Budgets



TINA AIRD

GROWTH ADVERTISING DIRECTOR



JOHN BODKIN

ACC. DIRECTOR

Agenda for today

Microsoft Ads & AI in 2026

Tina Aird

Making the Most of Search, PMAX & Cross-Channel

John Bodkin

Recap & Go-dos

Tina Aird

Microsoft Ads & AI in 2026

Date: 01/27/2026



Microsoft Copilot: **The UI of our AI**



Bringing it all together: The future of Copilot

We are integrating copilot everywhere across the massive Microsoft consumer ecosystem.



Generative AI is bringing younger and more affluent audiences to Microsoft

YOUNGER

34%

Copilot users are 34% more likely to be ages 16-24 with more mobile orientation



AFFLUENT + EDUCATED

£100K+

Copilot users earn higher incomes than the average internet user

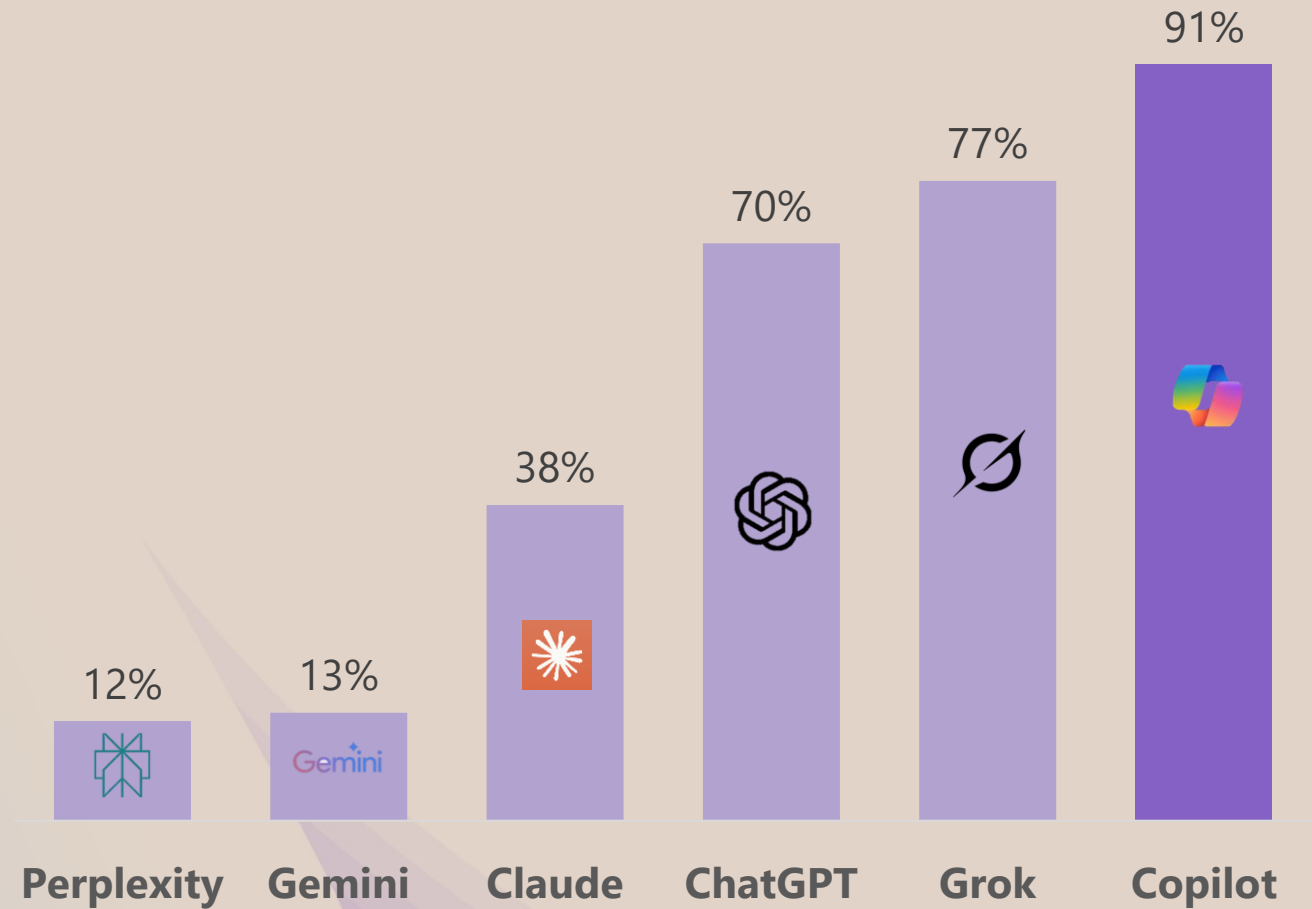
Copilot users are 22% more likely to hold an advanced degree



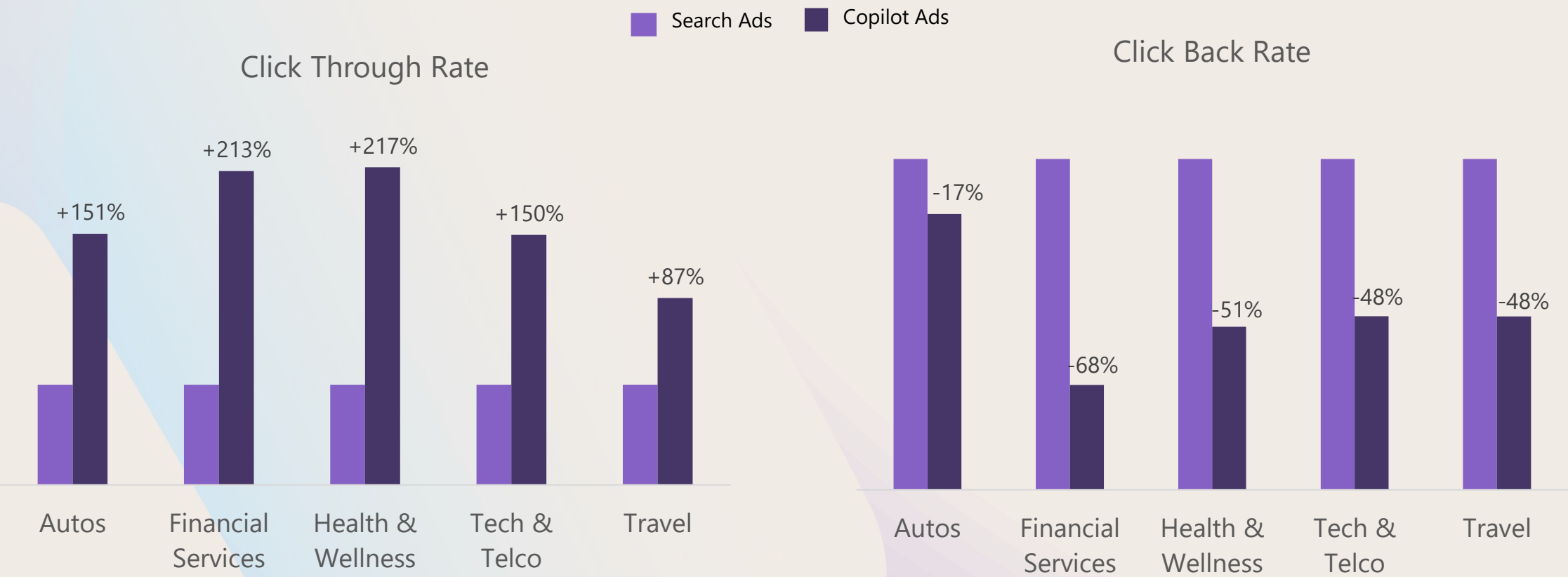
Copilot weekly mobile usage continues to grow faster than competitors

+91% increase in Copilot weekly app sessions since January 2025

% Increase in Weekly App Session Count (January 2025 vs. August 2025)



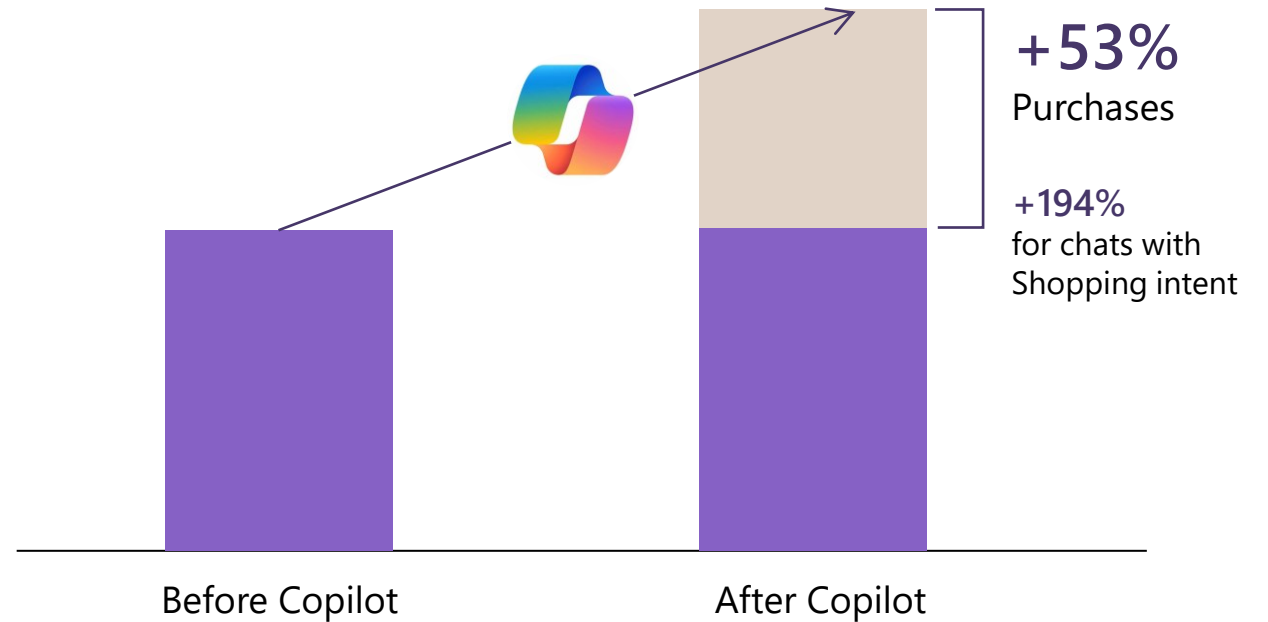
Ads in Copilot boost user engagement an average of +153% and improve user experience by 54% across all verticals



1. Quick back rate measures the propensity for a user to immediately (<20 seconds) revert back to the Search Engine Results Page after clicking off. Used to measure satisfaction with results

Purchasing behaviors **increase** after a Copilot **interaction**

User purchase action¹ before and after a Copilot interaction



Microsoft 1P Data | Dec 21, 2024 to Dec 31, 2024 | Global | Edge users | 30 minutes before and after Copilot interaction

1. Measured based on assumed purchases from URL address

The big shift is here:

AI Search is driving Bing's growth

Bing share is growing in the US and worldwide, the only search engine gaining share.

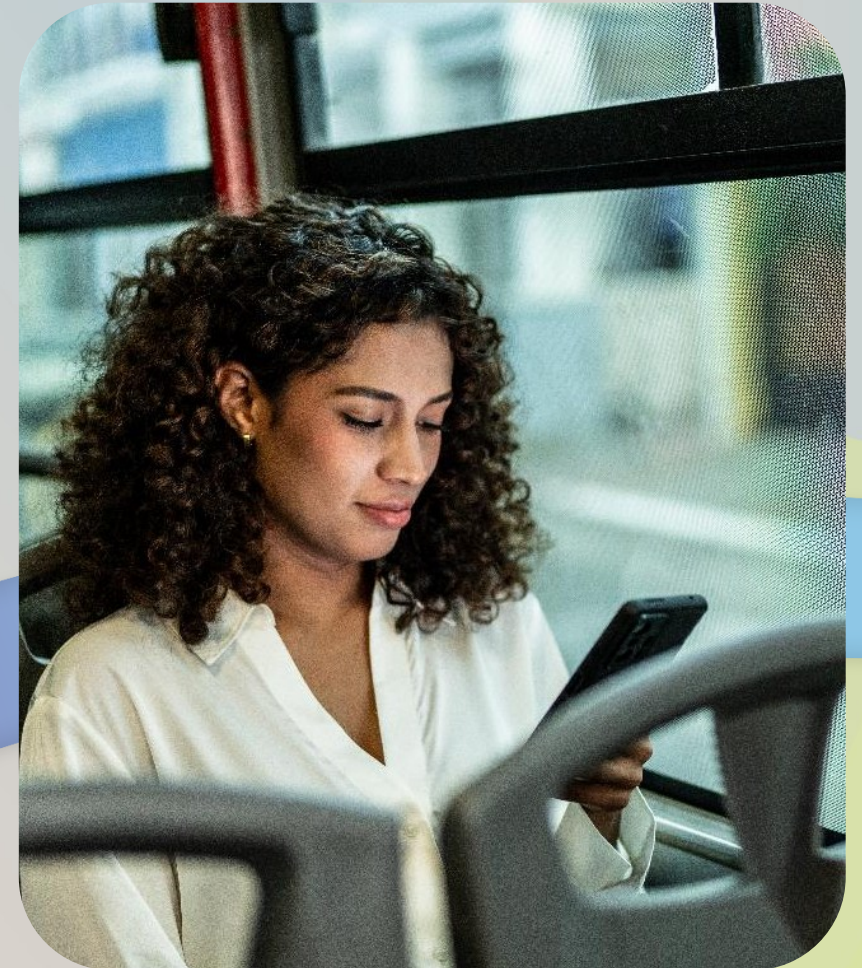


+2.1pts US PC

+3.4pts Worldwide PC

According to **Comscore**, Bing was the only engine to report lifts in US search share when comparing February 2023 to June 2025.

StatCounter reports even stronger gains when looking worldwide, with Bing up 3.4 percentage points.



Making the Most of Search, PMAX & Cross-Channel

Date: 01/27/2026



HELPING MARKETERS

Connect at every digital life moment, across life, work and play

CONTENT



#1

desktop news & info service - 550M monthly readers

BROWSER



#2

largest desktop browser

EMAIL



#2

largest mail service
190M monthly users

GENERATIVE AI



+140M
monthly active users

SOCIAL



+1.2B
members

SEARCH



595M
monthly users,
856M searchers
across our network

GAMING



#1

most-played video game of all time (Solitaire) over 500M monthly game players



MSN: ComScore, Global Data, Oct 2024. Edge: Statcounter, Global Data, 2024. Outlook: ComScore, Global Data, May 2024. M365: Microsoft internal data, FY24 Q4 earnings report, July 2024. Gaming: Microsoft internal data, FY24 Q4 earnings report, July 2024. LinkedIn: Microsoft internal data, FY24 Q2 earnings report, January 2024. Microsoft internal data, FY24 Q3 earnings report, April 2024.



Maximizing Search & Copilot with our AI Scorecard

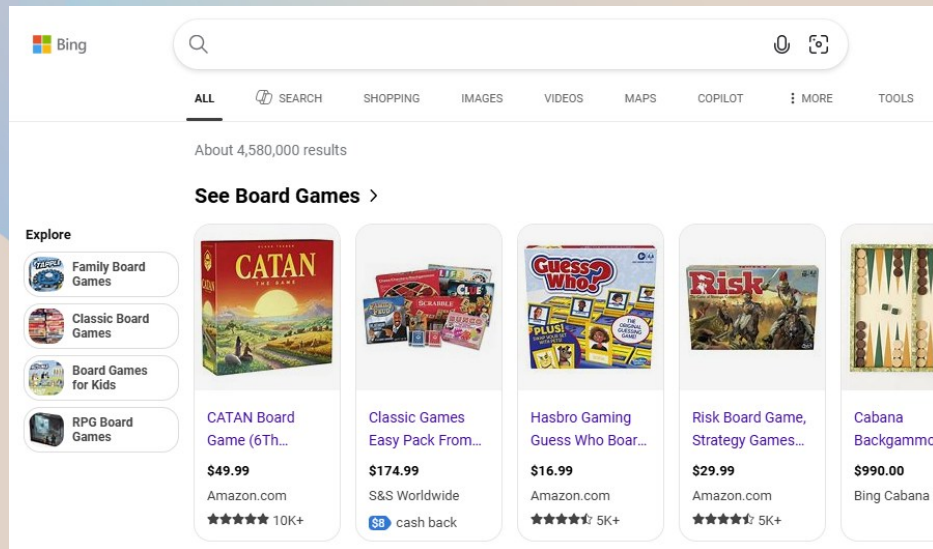
Your roadmap to smarter Search

Our AI Scorecard pinpoints the AI optimisations
that drive real search results

Paid Search vs. Copilot : Complementary not Comparable

Use Paid Search ad performance as a reference, not a direct benchmark

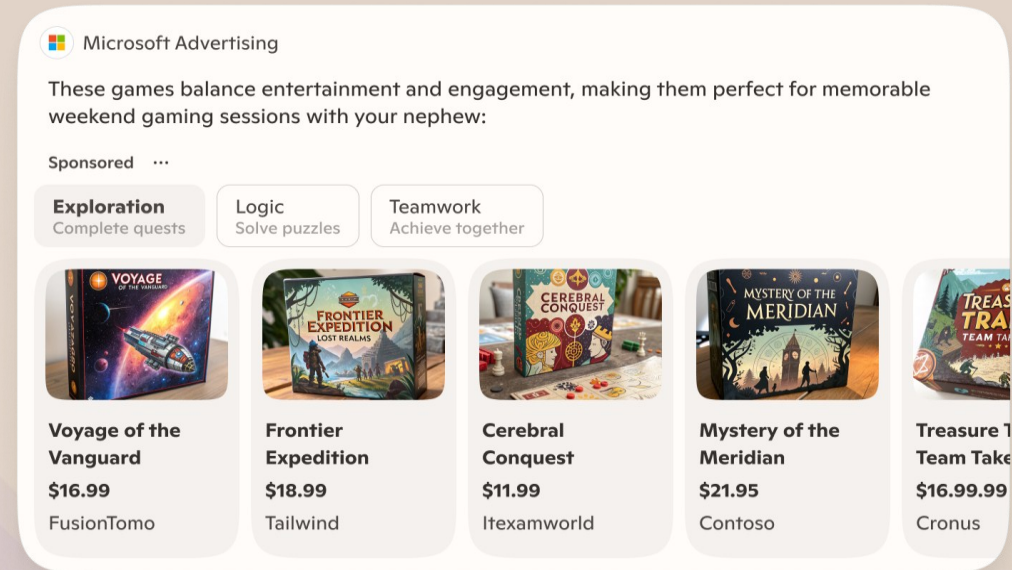
Paid Search Ads



Keyword and Intent driven

Triggered by specific search terms; linear and transactional experience

Copilot Ads



Conversational Discovery

Embedded in AI responses; dynamic, contextual, and user-guided



We are currently serving multiple ad types across Copilot

Text ads

What are the top sushi restaurants near me? I'm looking for something authentic

Here are some top sushi restaurants in Austin that offer authentic and delicious experiences:

- 1. Uchi Austin:** Founded by James Beard Award-winning Chef Tyson Cole, Uchi offers non-traditional Japanese cuisine with signature tastings, sushi, and seasonal omakase. It's known for its elevated food and impeccable service.
- 2. Lucky Robot:** This is the first sustainable sushi restaurant in Texas, recognized by the James Beard Foundation's Smart Catch Program. They source their ingredients from local farms and cooperatives, ensuring high environmental and sustainability standards.
- 3. Uchiko Austin:** Originating from the famed Uchi restaurant, Uchiko specializes in upscale sushi, cool tastings, omakase, and small plates in a farmhouse-chic space. It's another creation by Chef Tyson Cole.

These spots should give you a great start on your sushi adventure in Austin! Do any of these sound like what you're looking for?

Microsoft Advertising

If you want to ensure you get a table at your preferred time, you might want to book a table beforehand. Here's a link from Contoso to help you book your place in top Austin sushi restaurants.

Sponsored

Book Now on Contoso and Secure Your Spot at Austin's Top Sushi Restaurants.

 Reserve with Contoso on Top Sushi Restaurants
Contoso.com



Message Copilot



Feed-based ads

I'm attending a party next April and the dress code is "elegant early 2000s", what do you think I could dress like?

Alright, let's channel that early 2000s chic. Think of timeless icons like Gwyneth Paltrow and Kate Moss. Here's the vibe:

- **Dresses:** Go for a slip dress with delicate straps or a sleek halter-neck dress. Satin or silk fabrics are perfect for that era's elegance.
- **Shoes:** Strappy heels or delicate sandals to keep it classy and stylish.
- **Accessories:** Small shoulder bags, chokers, and minimalistic jewelry to complement the look. Maybe even a touch of glitter on the eyes for that subtle glam.

You're going to nail it. Ready to strut down memory lane?

Microsoft Advertising

Here are some inspiring picks for an early 2000s party look in spring. Depending on what you're looking for you can go for colorful and airy, or maybe you prefer a two-piece suit that's more formal.

Sponsored



Satin Kimono Midi Dress
\$119.97 \$154
Contoso.com



Black and White Midi Dress Angel...
\$87
Fabrikam



Halter Tie Neck Midi Dress in Pleat
\$122.99
Contoso.com



Muse Dropped Hem Mini Dress
\$155.97
Contoso.com



Classic Wo
\$176.50
Fabrikam



Message Copilot



Multimedia ads

What vacation rentals would you recommend in Leavenworth?

Leavenworth is such a charming place, like stepping right into Bavaria! Here are a few vacation rentals to consider:

- 1. Icicle Village Resort:** A great spot with a nice balance of comfort and amenities. Perfect for families or couples.
- 2. Sleeping Lady Mountain Resort:** If you're into eco-friendly stays and a more rustic vibe, this place has cozy cabins and beautiful scenery.
- 3. Pine River Ranch:** Offers a more romantic and secluded setting, ideal for couples looking for a quiet getaway.
- 4. Haus Hanika:** Right on the river and only a short walk to downtown. It has that authentic Bavarian feel.

Each of these places has its own charm and appeal, depending on what kind of experience you're after. How does that sound?

Microsoft Advertising

Contoso.com may be worth considering: with its unique rentals, easy booking, and verified reviews, you're sure to find the perfect stay in the charming Bavarian village of Leavenworth. Discover your ideal getaway today.



Sponsored

Book your Hotel in Leavenworth WA online with no reservation costs. Benefit from great rates.

 Leavenworth Vacation Rentals | Book with Contoso
<https://www.contoso.com>

Book Now



Message Copilot





Same Ad Format, Different Experience by Platform



Microsoft Bing

cars

322,000,000 Results Any time Results near Kirkland, Washington Change

Official Contoso Site | Luxury Cars and SUVs
<https://www.contoso.com/offers/models>
 Shop for Your Future Contoso Online Today. Build and Price a New Contoso Now.

Current Offers
 Browse Current Offers On Select Models & Request A Quote Today

Build Your Contoso
 Build & Price Your All New Contoso Customize The Right Vehicle For You

Locate a Dealer
 Find A Contoso Dealer Near You & Test Drive A New Contoso

Lease Offers
 View Lease Offers On Select Models For Well Qualified Lessees

Compare Vehicles
 View & Compare Models To Find The Right Contoso For You

See results only from contoso.com

Puget Sound Contoso Dealers | See Local Offers & Inventory
<https://contoso.com/pugetsound/dealers>

The 2021 Contoso Northwind
 Check out the bold new look and advanced hybrid technology with all new Contoso Northwind. [Test drive](#)

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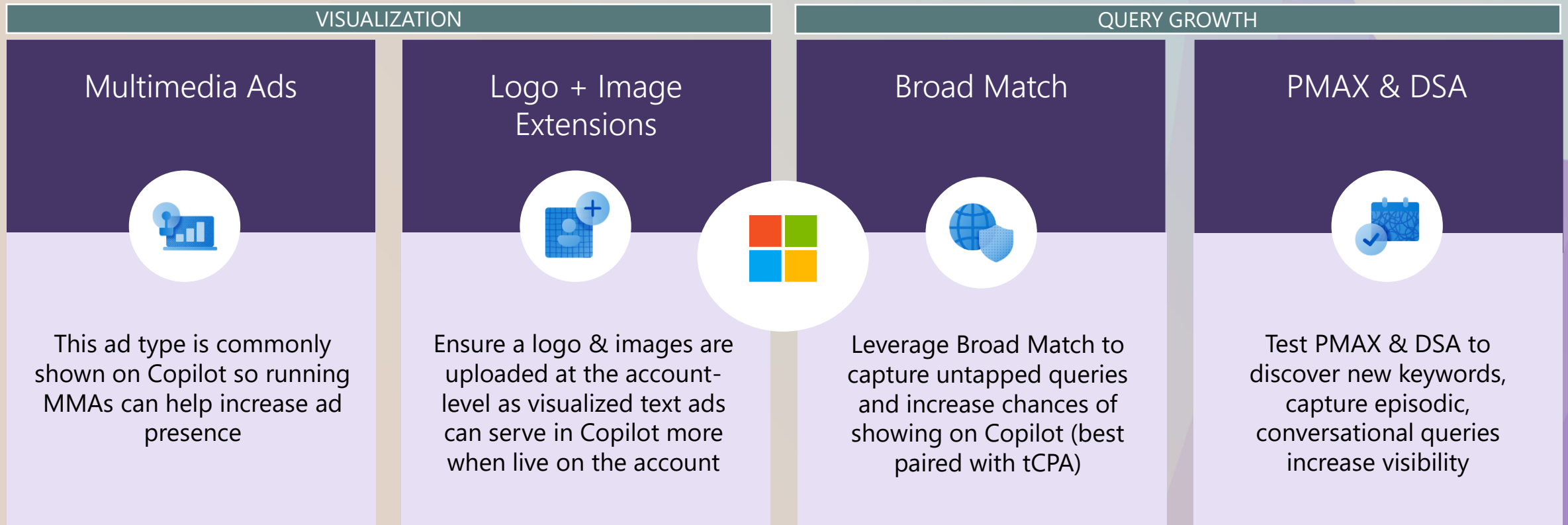
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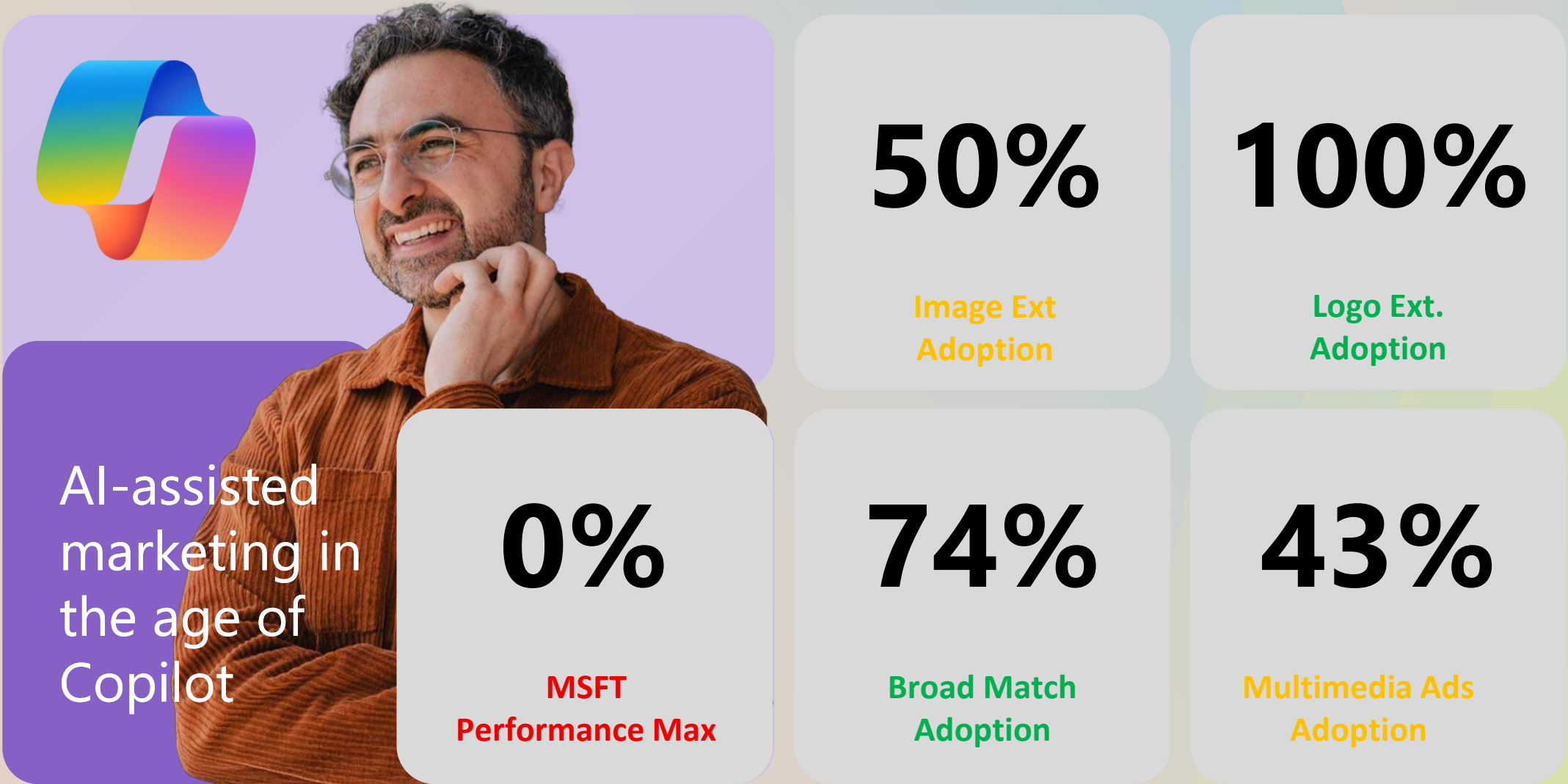
Leavenworth Vacation Rentals | Book with Contoso
<https://www.contoso.com> [Book Now](#)

Message Copilot

Action: how can we maximise our chances of ad delivery across the Copilot experience?



Example AI Scorecard that advertisers can reference



*Broad match recommended to be paired with tCPA automated bidding and on select keyword categories, not everywhere.



Delivering Incremental Performance with PMAX

Scale smarter, not harder

PMAX turns Microsoft's AI into your always-on growth engine for unmatched reach and performance

Performance Max

Let AI find your next customer

✓ Access Search, Native & Copilot Inventory

PMAX allows advertisers to access both incremental Search and Native activity that's optimized towards last click performance goals and owned and operated and third-party publishers.

✓ Compatible with Google Import

Despite not including Video and Display assets, we can still import our existing campaign builds from Google without the need for massive customization.

✓ Microsoft's AI in Action

You add images, descriptions, headlines and signals and Microsoft's machine learning will do the rest.

SEARCH + PERFORMANCE MAX =

3x

ROAS increase
on average vs. only
search ad exposure

-32%

CPA decrease
on average vs. only
search ad exposure

PERFORMANCE MAX



Performance Max + Copilot: the best of our predictive AI and Generative AI together

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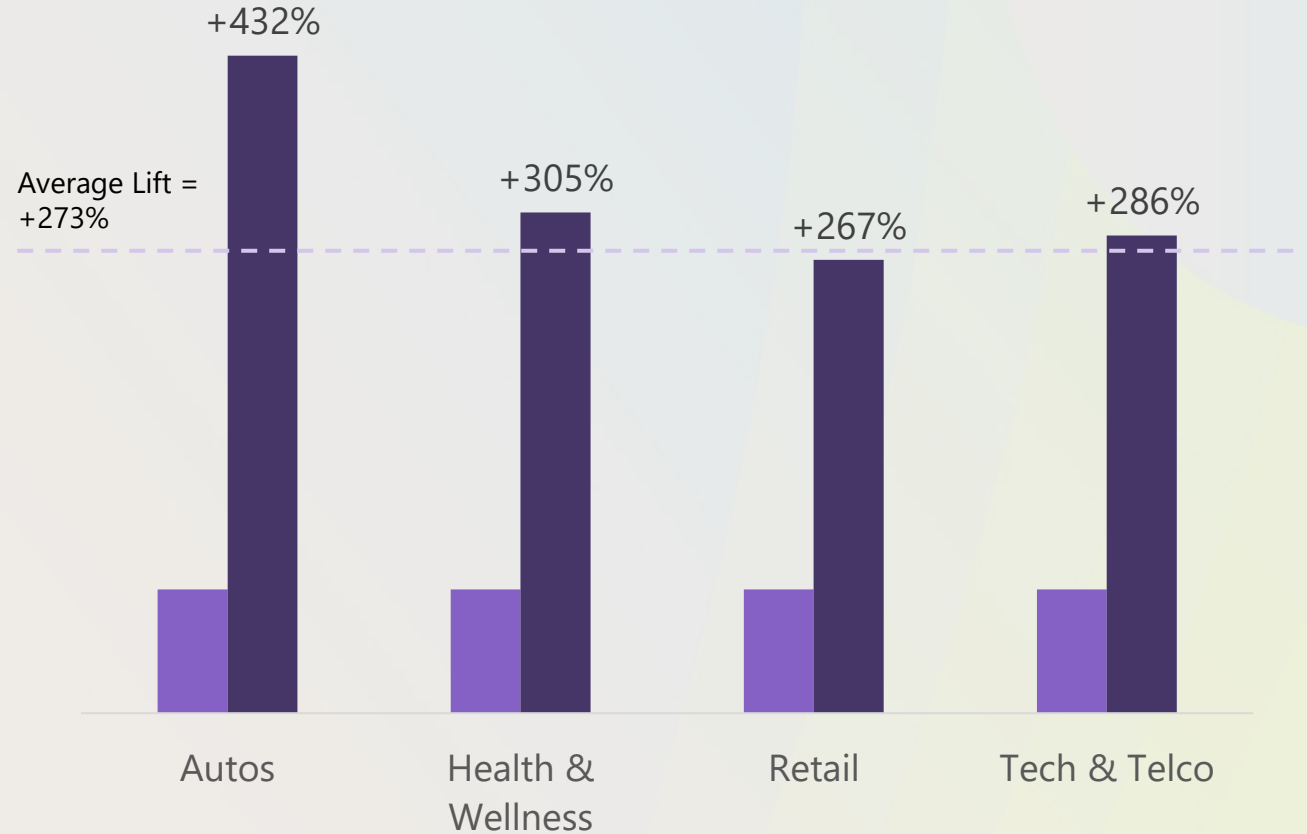
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 Leavenworth Vacation Rentals | Book with Contoso
https://www.contoso.com

Book Now

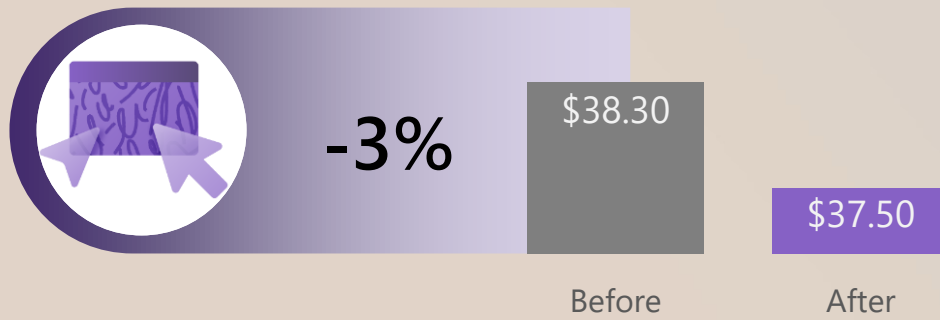
PMAX Ads in Copilot drive significant engagement, boosting click through rate an average of **+273%** across major verticals

PMAX COPILOT VS. PMAX SEARCH CLICK THROUGH RATE (CTR)

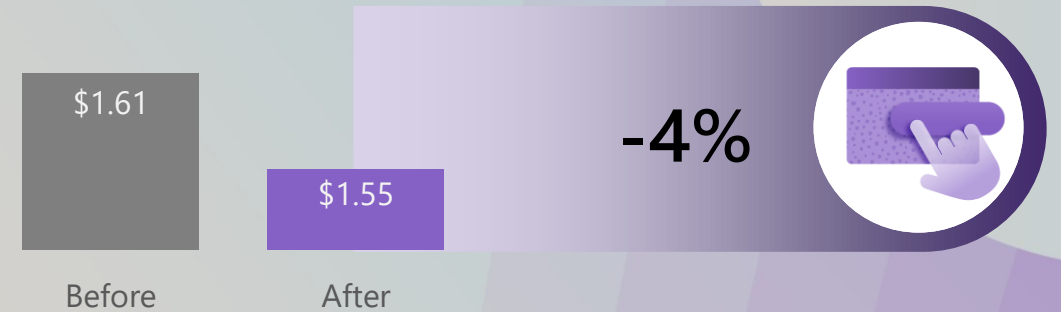


PMAX campaigns provide strong lift to advertiser performance

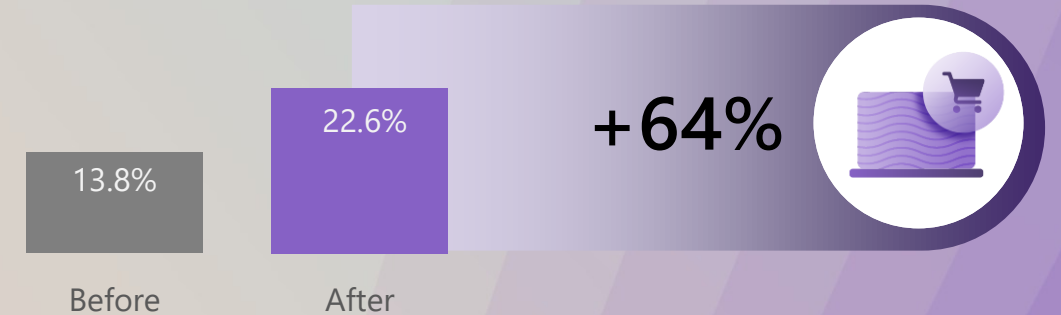
Cost per Acquisition



Cost per Click



Conversion Rate



Performance Max empowers overall account performance in ROAS

10%

In global markets, return on ad spend (ROAS) rises by 10% after adopting Performance Max



What are the unique features that Microsoft PMAX offers versus competitors?



1

In-market audiences by job titles and company size

2

LinkedIn profile targeting by company, industry and job function

3

Impression-based remarketing (from audience ad campaigns)

*US, CA, UK, FR, DE, CH, US, AU, and more markets

Using impression-based remarketing in Search and Performance Max campaigns*

Build remarketing lists based on exposure to your ads.

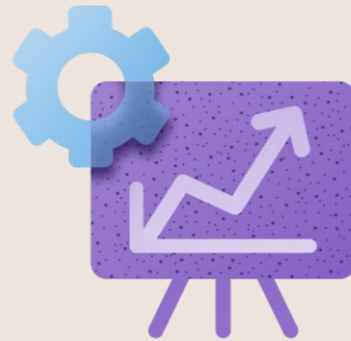
BUILD LIST FROM EXPOSURE TO

Connected TV ads

Video ads

Display ads

Native ads



TARGET USERS IN

Performance Max

Search ads**



Microsoft / Google parity

Performance Max

			Notes/updates	International availability
PMax features				
Multimedia Ads	✗	✓	Available for Performance Max and other campaign types	Global not china
Search term insights report	✓	✓		Global
Search themes	✓	✓	Available for Performance Max	Global
URL rules at asset group level	✓	✓		Global
Brand exclusions (campaign level)	✓	✓		Global
Scripts support	✓	✓		Global
Audience insights reports	✓	✓		Global
Asset level conversion reporting	✓	✓	GA February 2025	
New customer acquisition goal	✓	✓	Pilot in Q2 CY2025	Global, not china
LinkedIn profile targeting as an audience signal	✗	✓	Available	Global, not China



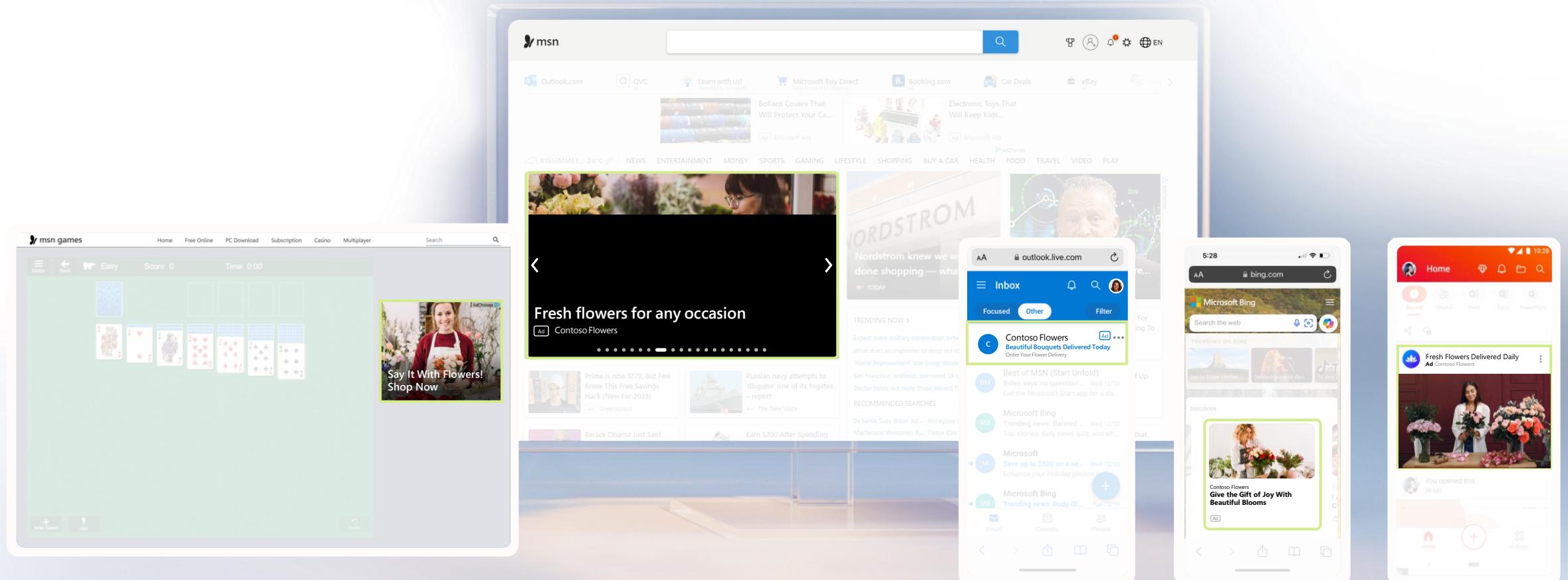
Unlocking Full-Funnel Reach with Audience Ads

Meet your customers before they search

PMAX turns Microsoft's AI into your always-on growth engine for unmatched reach and performance

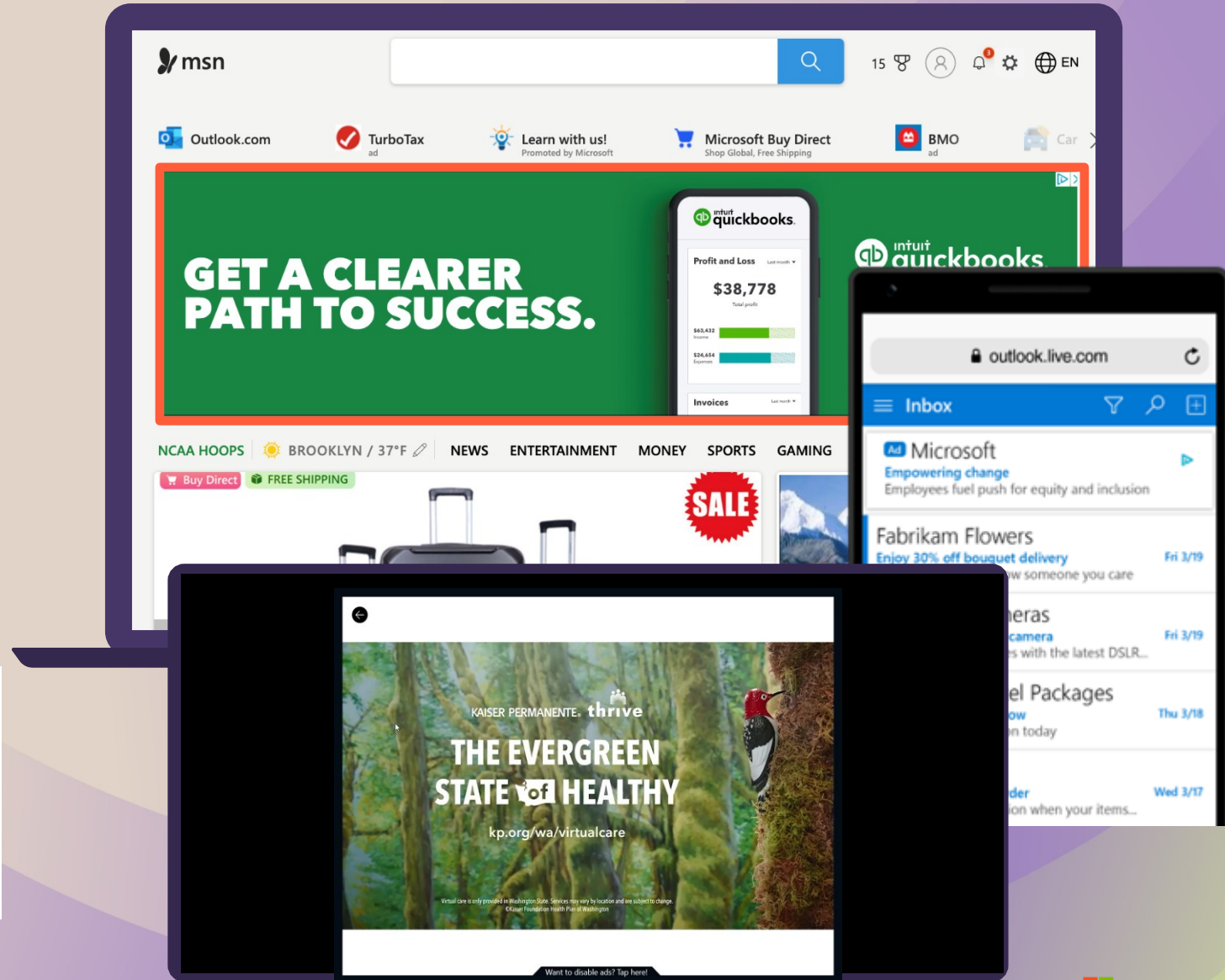
Microsoft Audience Ads for Cross-Channel Impact

REACH INCREMENTAL HIGH-VALUE MICROSOFT
CONSUMERS VIA NATIVE, DISPLAY & VIDEO
FORMATS ACROSS REPUTABLE SURFACE AREAS LIKE
MSN AND OUTLOOK



Why invest in Microsoft Audience Ads?

- ✓ **Search Incrementality:** Native, Display and Video media on Microsoft properties drives Search demand and incrementality.
- ✓ **DemandGen Comparable:** Certain elements of Audience Ads are like Google's DemandGen, and they can drive reach with a level of performance.
- ✓ **1p Data Options:** Target users across Microsoft 1p properties with exclusive Microsoft 1p data that can be used for brand or for performance.

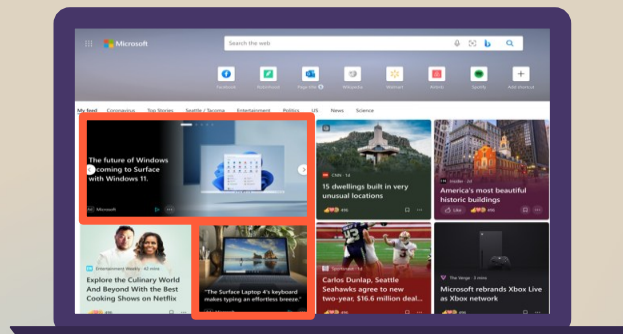


Available formats with Audiences Ads

Native Ads

Responsive Native inventory across placements such as Initials, homepage, in-article and inbox.

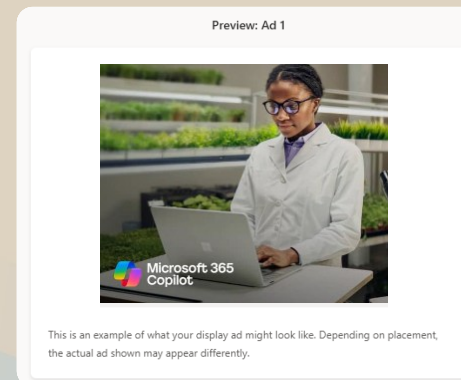
Use when -> The campaign goals align more to last click and post view performance.



Display Ads

IAB standard Display media that's can be run on statics and HTML-5 formats.

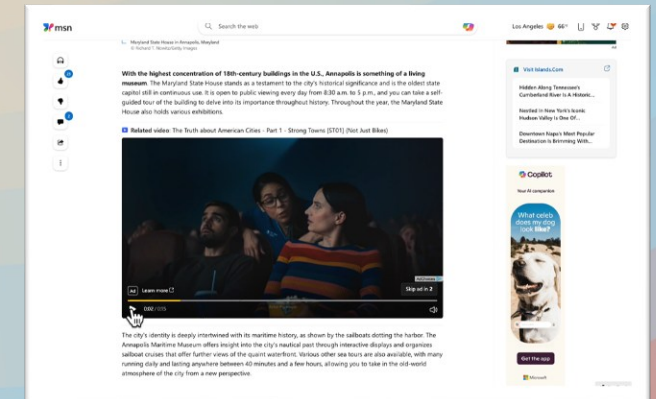
Use when -> The campaign have a mix of high impact reach and a level of measurable performance.



Online Video

Skippable and Clickable Instream Video media that's embedded within content spaces.

Use when -> The campaign have a mix of high impact reach and a level of measurable performance.



New Release: Advertisers can now activate Audience Ads on Microsoft properties exclusively

Placement bundles

Choose one or multiple placement bundles based on the type of inventory you would like to target:

- **Microsoft Edge** (New tab page. Previously called "home pages")
- **Productivity** (Outlook and Microsoft 365).
- **Gaming** (Microsoft Casual Games and more).
- **MSN** (All ad placements on MSN)
- **MSN - Health** (All MSN health ad placements)
- **MSN - Money** (All MSN money ad placements)

Placements ?

Where do you want to show your ads?

☐ The entire Microsoft Advertising Network (recommended)
This option includes Microsoft sites and additional partner traffic for extended reach and lower cost per click.

☒ Microsoft sites
Show your ads on specific Microsoft placements.

Choose the specific Microsoft placements

☒ Microsoft Edge Browsers
Native ad placements on Microsoft Edge's new tab page

☒ Productivity
Outlook (Native and Display ad placements)

☒ Gaming
Native, Display, and Video ad placements on Microsoft Casual Games and King Games (e.g. Candy Crush)

☒ MSN
Native, Display, and Video ad placements on MSN (serving with all available MSN content)

☒ MSN - Health
Native, Display, and Video ad placements serving exclusively with MSN health-related content

☒ MSN - Money
Native, Display, and Video ad placements serving exclusively with MSN money-related content

Investing in Audience Ads drives Search incrementality across Microsoft

Exposure drives lift at each stage of the funnel – from awareness to conversion.

Users exposed to Audience ads are¹:

AWARENESS

3x

More likely to
search for your brand terms

CONSIDERATION

4x

More likely to
visit your website

CONVERSION

6x

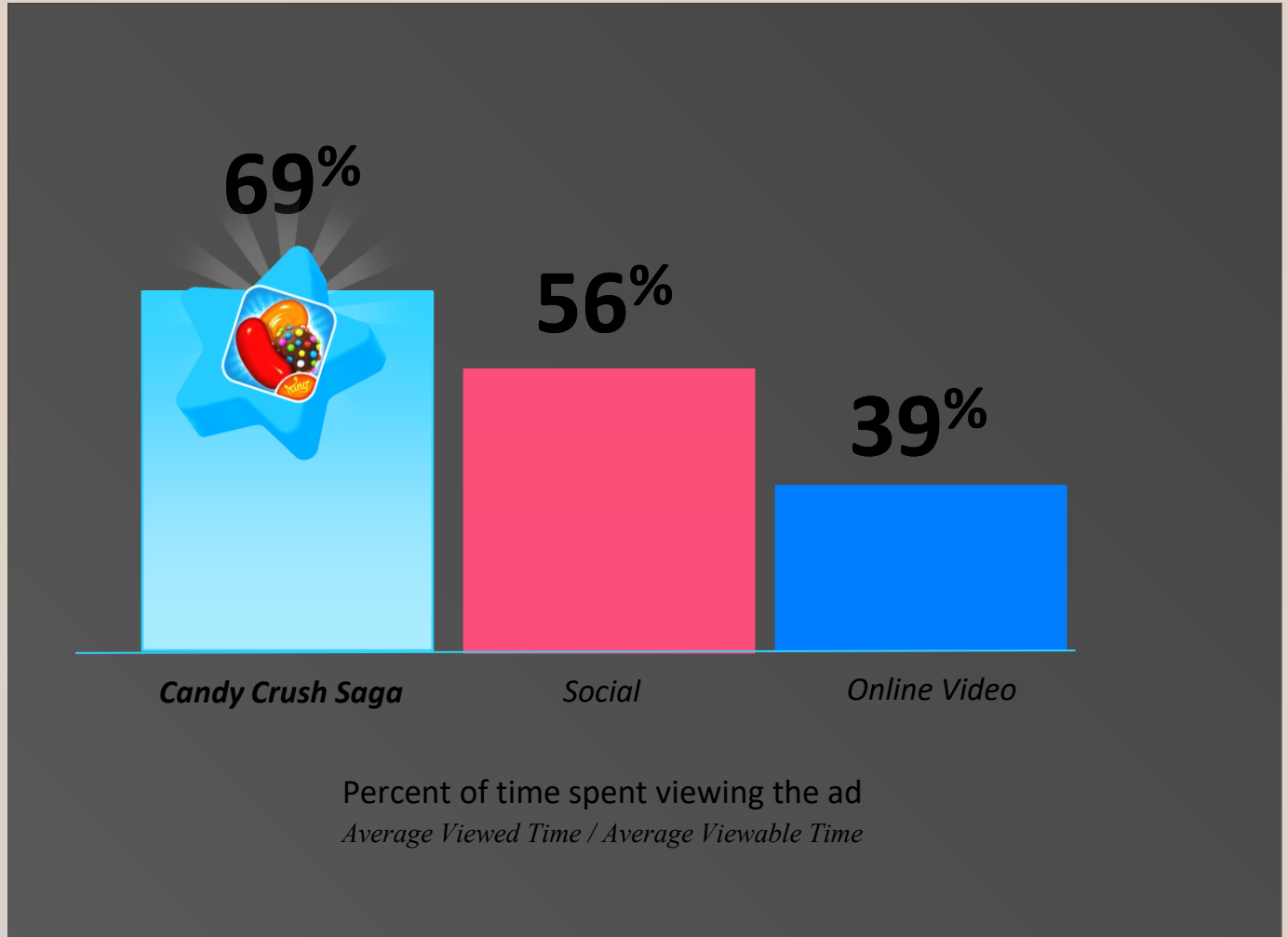
More likely
to convert

Microsoft Internal Data, January-March 2024. Results may vary for each advertiser based on campaign settings, targeted audiences, and other factors. Lift metrics represent an average of all advertisers with completed lift studies to date. These advertisers may be a non-representative sample of all advertisers on the marketplace. Lift measured between exposed users and a control group of eligible unexposed users, with lift represented on a per-user basis. Average user count per advertiser study = 1.6M. Rounded to whole number. Compared to users who were not exposed.



NEW: TARGET KING GAMING
INVENTORY VIA AUDIENCE ADS IN
THE MICROSOFT ADS PLATFORM

Gaming demands attention.



Source: ¹Activision Blizzard Q2 2023 Financial Result;

²GlobalWebIndex, GWI Core, Q4 2023 - Q3 2024 (Base: UK Internet Users 18+);

³GlobalWebIndex, GWI Core Plus, Q4 2023 - Q3 2024 (Base: UK Internet Users 18+) Note: Main shoppers for food, personal care items, and household essentials

Rewarded Vertical Video is now available on King titles like Candy Crush for Brand + Acquisition



Formats: Rewarded Video across renowned gaming titles with the capabilities of:



- CPC, CPA, CPM pricing
- Activate with Microsoft 1p and AI driven audiences
- 9:16 supported creatives eligible for mobile only

Bubble
Witch 3
saga

FARM
Heroes
saga

Candy
Crush
SAGA

Pet
Rescue
saga

Recap & Go-

Date: 01/27/2026



Key takeaways



1

Large ecosystem with Copilot embedded throughout.
AI Scorecard to recommend ideal formats

2

Pmax designed to capture conversational queries and drives return

3

Audience Ads drive both brand impact and Search incrementality

Connect with us – scan the QR code to book your consultation



1

Attendees today qualify for a
Microsoft Advertising specialist
consultation

2

Incentives and Coupons

3

Microsoft Advertising
Agency Center

Resources



- Microsoft Advertising Agency Center - [Click here](#)
- Microsoft Advertising consultation – [Click here](#)
- Microsoft Advertising Marketing website – [Click here](#)
- Copilot in Microsoft Advertising Platform – [Click here](#)
- Partner Program website – [Click here](#)
- Gen AI Guide - [Click here](#)
- Microsoft Advertising blog center - [Click here](#)

Q&A

